

INSTITUTE OF ACTUARIES OF INDIA
EXAMINATIONS

3rd September 2021

Subject CB2 – Business Economics

Time allowed: 3 Hours 30 Minutes (9.30 - 13.00 Hours)

Total Marks: 100

- Q. 1)** Which one is included in National Income?
- A. winning from lottery
 - B. milk purchase by a dairy shop
 - C. national debt interest
 - D. none of these
- [1.5]**
- Q. 2)** A temporary unemployment which exists during the period of the transfer of labor from one occupation to another is called
- A. Voluntary Unemployment
 - B. Involuntary Unemployment
 - C. Cyclical Unemployment
 - D. Frictional Unemployment
- [1.5]**
- Q. 3)** The school of thought that emphasizes the natural tendency for an economy to move toward equilibrium full employment without inflation is known as the:
- A. Keynesian school.
 - B. Non-interventionist school.
 - C. Rational expectations school.
 - D. Classical school.
- [1.5]**
- Q. 4)** According to Keynes, what is the most important determinant of households' spending on goods and services?
- A. The price level.
 - B. The interest rate.
 - C. Autonomous consumption.
 - D. Disposable income.
- [1.5]**
- Q. 5)** Which of the following will occur if there is an increase in taxes?
- A. The IS curve shifts and the economy moves along the LM curve.
 - B. The LM curve shifts and the economy moves along the IS curve.
 - C. Output will change causing a change in money demand and a shift of the LM curve.
 - D. Both the IS and LM curves shift.
- [1.5]**
- Q. 6)** The change in investment due to change in income is known as
- A. Consumption
 - B. Multiplier
 - C. Accelerator
 - D. IS curve
- [1.5]**
- Q. 7)** In trade/ business cycle, the cycles follow these sequence

- A. Prosperity or boom → recession → depression or slump and then → Recovery
- B. Prosperity or boom → depression or slump → recession and then → Recovery
- C. Recession → depression or slump → Recovery and then → Prosperity or boom
- D. Recovery → recession → depression or slump and then → Prosperity or boom

[1.5]

Q. 8) Demand pull inflation may be caused by

- A. An increase in cost
- B. A decrease in interest rate
- C. A reduction in Government spending
- D. An outward shift of aggregate supply

[1.5]

Q. 9) Which of the following pairs is not correctly matched with regard to balance of payment accounts?

- A. Import of goods and services – Debit in the current account
- B. Receipts of transfer payments – Credit in the current account
- C. Direct investment receipt – Credit in the capital account
- D. Portfolio investment payments – Debit in the current account

[1.5]

Q. 10) What happens when central bank reduces repo rate?

- A. Money supply increases
- B. Money supply decreases
- C. No effect on money supply
- D. None of the above

[1.5]

Q. 11) Governments have several functions, but which is certainly not an economic one?

- A. Provision of public goods.
- B. Redistribution of income.
- C. Regulation of socially undesirable goods.
- D. Macroeconomic stabilisation.

[1.5]

Q. 12) The real exchange rate is constant when the nominal exchange rate appreciates at a rate equal to

- A. the rate of inflation plus the real rate of interest.
- B. the nominal rate of interest, assuming the Fisher Principle holds.
- C. the difference between the rate of growth of the money supply and the rate of inflation.
- D. the difference between the foreign and domestic inflation rates.

[1.5]

Q.13) Economic policymakers find supply-side policies attractive because

- A. supply-side policies eliminate dead-weight loss from taxation.
- B. supply-side policies do not imply a short-run trade-off between unemployment and inflation.
- C. supply-side policies will reduce output gaps by increasing total factor productivity.
- D. supply-side policies help to shift the Beveridge curve away from the origin.

[1.5]

- Q.14)** At the profit maximising equilibrium of monopolistically competitive firm, the absolute value of the price elasticity of demand is always:
- A. Zero
 - B. Between zero and one
 - C. One
 - D. Greater than one
- [1.5]**
- Q.15)** Which of the following is NOT a source of diseconomies of scale?
- A. Managerial factors
 - B. Industrial relation
 - C. Specialisation
 - D. Increasing pollution
- [1.5]**
- Q. 16)** The monopoly produces socially optimal level of output at the level where
- A. The average cost curve cuts the marginal revenue curve
 - B. The average cost curve cuts the demand curve
 - C. The marginal cost curve cuts the demand curve
 - D. The marginal cost curve cuts the marginal revenue curve
- [1.5]**
- Q. 17)** If the price of Good X has fallen and quantity sold has decreased, then there must have been a
- A. Rightward shift of supply curve for Good X
 - B. Leftward shift of supply curve for Good X
 - C. Rightward shift of demand curve for Good X
 - D. Leftward shift of demand curve for Good X
- [1.5]**
- Q. 18)** Which of the following describes a merit good?
- I. It provides benefits that are not fully appreciated by the user
 - II. It is a private good
 - III. It could be provided by the Government at subsidised price
 - IV. It cannot be supplied by the market
- A. Only I
 - B. I, II & III
 - C. I & III
 - D. I & IV
- [1.5]**
- Q.19)** A change in consumer tastes would change
- A. The slope of the indifference curve
 - B. The position of the indifference curve
 - C. The slope of the budget
 - D. The position of the budget line
- [1.5]**

Q. 20) Which of the following is one of the four possible strategies in a growth vector matrix?

- A. Niche marketing.
- B. Diversified marketing.
- C. Aggressive marketing.
- D. Strategic alliance.

[1.5]

Q. 21) Which of the following occurs when research and development occur making a medicine easier to produce?

- I. A movement along a demand curve
- II. A shift of the supply curve
- III. A movement along a supply curve

- A. I & II
- B. I & III
- C. I only
- D. II only

[1.5]

Q. 22) An industry has the following characteristics:

- Slightly differentiated products
- Each firm has a control over price
- No entry barriers
- Supernormal profits are made by all firms

The market conditions of this industry are those of:

- A. perfect competition in the short run
- B. monopolistic competition in the short run
- C. oligopoly in the short run
- D. monopolistic competition in the long run

[1.5]

Q. 23) Which of the following statements describes bygonos principle?

- A. The opportunity costs should be ignored when deciding how much of a good to produce in the short run
- B. The fixed costs should be ignored when deciding how much of a good to produce in the short run
- C. The total costs should be considered when deciding how much of a good to produce in the short run
- D. The average costs should be considered when deciding how much of a good to produce in the short run

[1.5]

Q. 24) Which of the following statements is not correct?

- A. Dominant equilibrium is a special case of a Nash equilibrium.
- B. It is not possible to have a Nash equilibrium that is not a dominant equilibrium.
- C. In dominant equilibrium all participants have dominant strategy.
- D. The Nash equilibrium assumes there is no collusion between the participants.

[1.5]

Q. 25) The firm's decision to invest on advertising is most likely to have the following impact on its demand curve:

- A. The curve will shift to right and become less price elastic
- B. The curve will shift to left and become less price elastic
- C. The curve will shift to right and become more price elastic
- D. The curve will shift to left and become more price elastic

[1.5]

Q. 26) When one of a patented product allows another firm to produce it for a fee, the arrangement is referred to as a:

- A. Franchise
- B. Joint venture
- C. Merger
- D. Licensing agreement

[1.5]

Q. 27) The central bank is usually a Government financial institution with a number of important responsibilities. Describe the role of central banks as regulators and bankers of commercial banks, bankers to Governments and framers of monetary policies.

[4]

Q. 28) Explain how the following factors are used to encourage competition:

- i) deregulation (2)
- ii) privatization (2)
- iii) trade liberalization (2)
- iv) anti-monopoly regulation (2)

[8]

Q. 29) In recent decades, international trade has come to play a major role in economic activities and economic performance of countries everywhere. Explain any five benefits from international trade.

[10]

Q. 30) i) Define aggregate demand. What does an aggregate demand (AD) curve show? (2)

ii) Explain why the AD curve has a negative slope. (3)

[5]

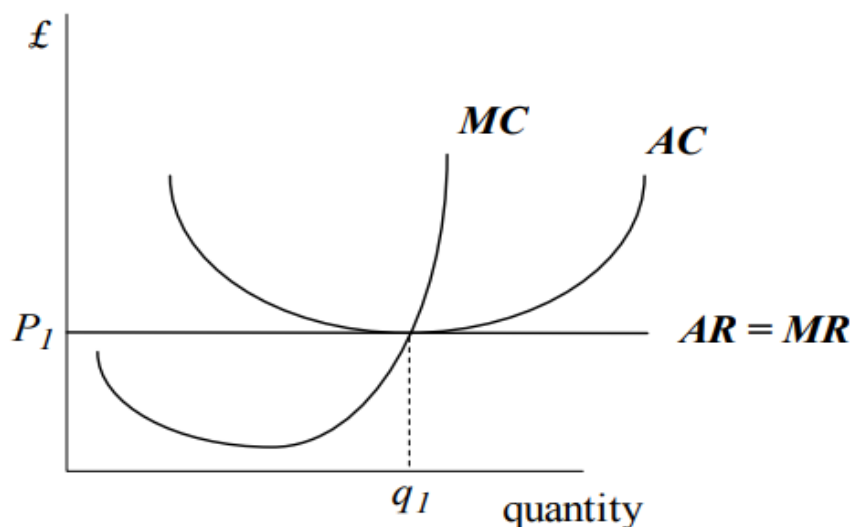
Q. 31) i) What is meant by industrial clusters? (1)

ii) State Government policies for development of industrial clusters. (2)

iii) State main features of Austrian School. (4)

[7]

Q. 32)



- i) The above diagram shows long- run equilibrium for which type of market structure. (1)
- ii) Describe this market structure. (2)
- iii) Explain the reasons why consumers prefer this type of market structure. (6)
- [9]**

- Q. 33)** i) Government has put price ceiling on some drugs during pandemics. Discuss the advantages and disadvantages. Your discussion should include definition of price ceiling. (5)
- ii) Describe how the marginal physical product of labour varies with the employment of labour. (2)
- iii) Describe the relationship between the marginal physical product labour curve and the marginal cost curve. (2)
- [9]**

- Q. 34)** Explain why advertising expenses for car insurance industry is likely to be high. (5)

- Q. 35)** Explain the limitations of GDP as a measure of the standard of living. (4)
